

China MLCC Sector

Distributors turning more positive, producers relatively cautious

Equities

China
Chemicals

Distributors expect the supply shortage to be tighter for longer in H226

On 22 May, we hosted a virtual MLCC conference ([replay](#)) with a South China-based distributor. He still expects MLCC manufacturers to increase prices in H226, citing the following reasons: 1) AI servers' strong demand for high-capacity MLCCs has taken up a lot of capacity, leading to shortages for all MLCC grades. 2) Distributor/end-market inventory is low (about one month), and restocking is difficult, with most producers in China running at full capacity. 3) SEMCO is planning a ~20% like-for-like price hike targeting distributors, while other producers are cutting discount policies and low-price quotas.

MLCC producers are cautious on ASP hike guidance

Three-Circle/Fenghua posted solid 46%/19% YoY revenue growth in Q126, while both provided cautious price hike guidance. In terms of capacity, China's businesses have no intention to build more capacity, while Japan's Murata and Korea's SEMCO plan to invest more in capacity. We expect MLCC industry fundamentals to improve in H226, with increased price hike visibility. Although distributors' expectations for like-for-like price hikes are different from those of producers, leaders in Japan and Korea are transferring capacity toward more expensive MLCCs for AI servers, while distributors are noting the withdrawal of discount policies from producers, which already indicates ASP hikes, in our view.

Upstream suppliers of MLCC materials may also benefit

We also invited Jiemei to our virtual conference ([replay](#)). As per management: 1) Its carrier tape capacity is fully utilized, and it is negotiating with clients for potential ~10%/30% price hikes on carrier tape/release film. 2) MLCC release film sales volume has increased. If new capacity in Tianjin and Zhaoqing ramps up in H226 as planned, sales volume per month would rise to >40m sqm from 10m sqm in Jan 2026. 3) Jiemei is pushing ahead with its planned acquisition of AFiSy Technology, a leading Chinese producer of ion beam polishers.

Lift earnings estimates/price targets for MLCC names; maintain ratings

Given the increased visibility into MLCC value chain price hikes and demand support from AI servers, we lift our 2026-28E ASPs for Three-Circle, Jiemei and Sinocera and assume higher nickel powder sales volume for Boqian. Also, we raise our valuation multiples and price targets following peers' multiple increases (YTD, the MLCC value chain's average PE has increased from 28x to 59x). Among our coverage, we prefer Three-Circle and Jiemei, on ASP hike potential.

Figure 1: Earnings estimate and price target revisions

28-May-26	Rating	Price target (lcy)		PT change %	Share price Local cry	Implied upside %	EPS (Rmb/shr)		PE (x)		EPS CAGR 27-29E	PEG (x) 27E
		Current	Old				27E	28E	27E	28E		
Three Circle	Buy	159.00	108.00	47%	132.11	20%	2.7	3.5	49.0	38.0	28%	1.76
Sinocera	Buy	65.00	49.50	31%	52.99	23%	1.0	1.2	51.9	43.2	20%	2.6
Zhejiang Jiemei	Buy	86.00	45.90	87%	69.82	23%	1.4	1.9	48.6	37.5	26%	1.85
Boqian	Neutral	187.00	109.50	71%	182.45	2%	2.9	4.1	62.2	44.3	33%	1.88

Source: Wind, UBS-S estimates. Note: Share prices as of 28 May.

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Three-Circle: Lift ASP (5-10%) and SOFC installation estimates

We lift our 2026-28 MLCC ASP forecast 5-10%. Also, given structural support from AI server-driven MLCC demand, we slightly lift our 2027-28 shipment estimates, leading us to raise our 2026-28 MLCC segment estimates 7-12%. Meanwhile, feedback from solid-oxide fuel cell (SOFC) value chain participants suggests SOFC installation may surpass our expectation over the next few years. As such, we lift our 2027/2028 SOFC segment revenue estimates 16%/23%; the updated 2027/2028 revenue estimates imply installation of ~2.3GW/4GW.

Figure 2: Three-Circle – revenue and earnings estimate revisions (Rmb m)

	2026E			2027E			2028E		
	New	Old	Chg.	New	Old	Chg.	New	Old	Chg.
Total revenue	12,425	12,067	3.0%	16,441	15,409	6.7%	20,983	19,223	9.2%
MLCC	5,273	4,915	7.3%	7,244	6,529	11.0%	9,431	8,411	12.1%
Ferrule	1,349	1,349	-	1,551	1,551	-	1,784	1,784	-
PKG	1,659	1,659	-	1,909	1,909	-	2,138	2,138	-
Substrate	1,539	1,539	-	1,761	1,761	-	1,928	1,928	-
SOFC	1,057	1,057	-	2,325	2,008	15.8%	3,952	3,212	23.0%
Others	1,548	1,548	0.0%	1,650	1,650	0.0%	1,750	1,750	0.0%
Gross profit	5,419	5,219	3.8%	7,275	6,794	7.1%	9,475	8,636	9.7%
MLCC	2,362	2,163	9.2%	3,260	2,938	11.0%	4,338	3,869	12.1%
Ferrule	607	607	-	698	698	-	803	803	-
PKG	728	728	-	837	837	-	938	938	-
Substrate	519	519	-	594	594	-	651	651	-
SOFC	528	528	-	1,162	1,004	15.8%	1,976	1,606	23.0%
Others	674	674	-	723	723	0.0%	770	770	0.0%
Operating profit	4,302	4,117	4.5%	5,933	5,574	6.4%	7,651	7,012	9.1%
Net profit	3,745	3,583	4.5%	5,171	4,858	6.4%	6,669	6,111	9.1%
NPM%	30.1%	29.7%	0.4ppt	31.4%	31.5%	-0.1ppt	31.8%	31.8%	0.0ppt

Source: UBS-S estimates

Valuation. We raise our PE-based price target from Rmb108 to Rmb159, based on 59x 2027E PE, with a 2027-29E EPS CAGR of 28% (from 43x 2027E PE/a 2027-29E EPS CAGR of 26%). The implied PEG gain (from 1.5x to 2.1x) mainly reflects a broad-based recent re-rating (on a 2027E PE basis, peers' valuations have risen, on average, to 59x now from 28x in Feb 2026, leading to a PEG gain from 1.4x to 2.4x), as well as increased visibility into MLCC price hikes in H226 on AI server-driven demand.

We use sum-of-the-parts (SOTP) methodology to cross-check our new price target. Among a global MLCC market worth >Rmb100bn, we expect Three-Circle to capture a c.10% share (generally a stable level for China's leading electronic component manufacturers) in 2029, from 3% in 2025. Also, given the PE mid-point of ~30x for electronic component companies, we value Three-Circle's MLCC segment using 35x 2029E PE, mainly reflecting structural support from AI server-driven demand and potential MLCC price hikes. We value the SOFC membrane segment using 1.8x PEG, or 100x/39x 2027E/2029E PE, as the segment has higher growth potential as a beneficiary of growing AI server demand.

Figure 3: Three-Circle – valuation cross-checking with SOTP

Segment	Net profit - Rmb mn		CAGR	PE (x)	Valuation	Comment
	2027E	2029E	2027-29E	2027E	Rmb mn	
MLCC	2,317	3,853	29%	58.2x	134,838	35x 2029E PE, higher than electronic component peer average due to: 1) higher visibility of price hikes; 2) structural demand growth from AI servers
SOFC	814	2,075	60%	100.7x	81,898	1.8x 2027E PEG, close to AI server peers' average valuation
Others	2,040	2,522	11%	37.6x	76,674	30x 2029E PE, close to electronic component peers average
Total net profit	5,171	8,450			293,410	
Implied PE (x)	56.7x	34.7x			Share outstanding	1,917
					Implied SOTP valuation - Rmb/shr	153.1

Source: UBS-S estimates

Jiamei: Lift electronic carrier tape/release film ASP forecast

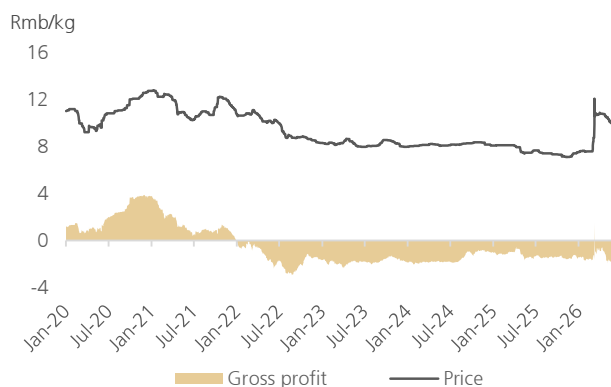
Based on Jiamei's feedback, we expect the release film price to rise 35% YoY in 2026; thus, we lift our 2026-28 release film ASP forecast ~12%. Nonetheless, given the rising price of petrochemical raw material PET, we raise our unit cost forecast ~10%, leading to 19%/7% higher release film gross profit estimates for 2026/2027. We slightly raise our 2026 carrier tape ASP estimate; that, along with the falling price of raw material pulp, leads to our 7% higher 2026-27 carrier tape gross profit forecast.

Figure 4: Jiamei – revenue and earnings estimate revisions (Rmb m)

	2026E			2027E			2028E		
	New	Old	Chg.	New	Old	Chg.	New	Old	Chg.
Revenue	2,892	2,811	3%	3,794	3,728	2%	4,466	4,249	5%
Paper carrier tape	1,692	1,686	0%	1,886	1,880	0%	2,080	2,018	3%
Release and cast film	610	542	12%	1,175	1,123	5%	1,498	1,352	11%
Composite foil	109	109	0%	200	200	0%	302	302	0%
Cover tape and others	482	474	2%	534	525	2%	585	577	1%
Gross profit	1,124	1,038	8%	1,509	1,417	6%	1,848	1,688	9%
Paper carrier tape	736	688	7%	821	767	7%	905	823	10%
Release and cast film	193	163	19%	441	410	7%	614	544	13%
Composite foil	32	32	0%	65	65	0%	125	125	0%
Cover tape and others	163	156	5%	183	176	4%	204	196	4%
Surcharge and expenses	569	559	2%	690	704	-2%	776	781	-1%
EBIT - core	555	479	16%	819	713	15%	1,072	907	18%
Other expenses	52	44		89	50		114	54	
PBT	503	435	16%	730	664	10%	958	853	12%
Income tax	61	44		96	73		125	111	
Minority	7	-		15	-		32	-	
Net income	435	384	13%	619	576	8%	802	710	13%
Operational assumption									
Carrier tape sales - mn rolls	9.2	9.2	0%	10.2	10.2	0%	11.3	11.0	3%
Film material sales - mn sqm	407	407	0%	735	784	-6%	882	882	0%
Release film ASP - Rmb/sqm	1.50	1.33	12%	1.60	1.43	12%	1.70	1.53	11%
Release film cost - Rmb/sqm	1.02	0.93	10%	1.00	0.91	10%	1.00	0.92	9%

Source: UBS-S estimates

Figure 5: BOPET film price/spread



Source: Wind, Baiinfo

Figure 6: Softwood pulp price

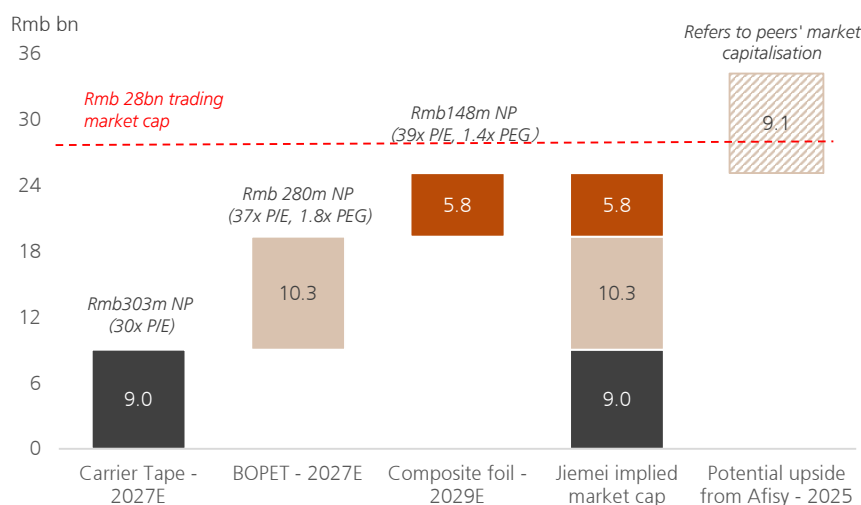


Source: Wind

Valuation. We raise our DCF-based price target from Rmb45.90 to Rmb86, with WACC unchanged at 8.5%, as we raise our medium-term growth assumption from 9.7% to 14.2%. Our new price target implies 60x 2027E PE, with a 2027-29E EPS CAGR of 26% (from 51x 2026E PE/a 2026-28E EPS CAGR of 36%).

We use SOTP methodology to cross-check our new price target. We value the BOPET/copper foil segments using 37x/39x 2027E/2029E PE for their potentially faster growth (in particular, we use a 2029E valuation basis for composite copper foil because the segment is at an early stage). We value the relatively mature carrier tape segment using 30x 2027E PE, close to the mid-point of electronic component peers. That gives Jiemei a valuation of ~Rmb25bn.

Figure 7: Jiemei – valuation cross-check with SOTP



Source: UBS-S estimates

We believe Jiemei's potential acquisition of AFiSy could bring upside to the former's valuation. In March 2026, Jiemei announced a plan to acquire AFiSy Technology, a leading Chinese producer of ion beam polishers used downstream for high-end optical, with customers that include lithography equipment enterprises, such as Wavelength Opto-Electronic Science & Technology and ML Optic. In 2025, similar to AFiSy's results (net profit of Rmb45m on revenue of Rmb130m), most of its lithography value chain peers in China posted net profit of <Rmb50m and valuations of >Rmb12bn. Therefore, we see upside to Jiemei's valuation on its potential acquisition of AFiSy.

Figure 8: A-share lithography value chain valuations (Rmb m)

Ticker	Company	Net profit 12/31/2025	Market cap 5/28/2026	Company description
301421.SZ	Wavelength OptoElectronic	35	12,729	Client of AFiSy; supplier of lithography exposure light sources
688502.SH	MLOptic Corp.	46	25,529	Client of AFiSy; manufacturer of lithography lenses
301392.SZ	Huicheng Vacuum	22	19,355	Optical coating supplier
300260.SZ	Kinglai Hygienic Materials	175	24,962	Manufacturer of lithography tools' components
	Changsha AFiSy	45		Manufacturer of ion-beam figuring (IBF) machines for lithography lenses

Source: Wind, company data

Boqian: Lift 2026-28 nickel powder shipment forecast

We lift our 2026-28 nickel powder sales volume estimates for Boqian 22-31%, mainly given: 1) growth potential on Boqian's nickel powder capacity additions and order inflow from major customers; 2) potentially strong revenue growth at China's MLCC manufacturers, likely to support nickel powder demand; and 3) a likely better product mix driver due to MLCC nickel powder demand from AI servers downstream. We assume Boqian will hold a 20% global market share in nickel powder and >40% in Samsung Electro-Mechanics' (SEMCO's) supply chain in 2030E.

Figure 9: Boqian – revenue and earnings estimate revisions (Rmb m)

	New	2026E Old	chg.	New	2027E Old	chg.	New	2028E Old	chg.
Total revenue	2,075	1,857	12%	2,722	2,357	15%	3,527	2,968	19%
Nickel powder	1,536	1,318	16%	2,018	1,653	22%	2,482	1,923	29%
Copper powder	219	219	-	386	386	-	690	690	-
Silver-clad copper powder	80	80	-	111	111	-	145	145	-
Alloy powder	36	36	-	45	45	-	61	61	-
Others	204	204	0%	161	161	-	149	149	-
Gross profit	815	695	17%	1,147	956	20%	1,569	1,270	24%
Nickel powder	661	541	22%	905	713	27%	1,155	856	35%
Copper powder	114	114	-	195	195	-	351	351	-
Silver-clad copper powder	12	12	-	17	17	-	22	22	-
Alloy powder	22	22	-	26	26	-	35	35	-
Others	6	6	0%	6	6	-	7	7	0%
Operational assumption									
Revenue from SEMCO	807	811	-1%	1,125	1,032	9%	1,375	1,185	16%
Nickel powder sales volume - t	2,294	1,881	22%	2,890	2,312	25%	3,475	2,656	31%
Nickel powder ASP - Rmb/kg	669	701	-5%	698	715	-2%	714	724	-1%
Solar copper powder sales - t	454	454	-	910	910	-	1,753	1,753	-
Net profit	524	450	17%	767	647	19%	1,076	883	22%
YoY growth%	139%	105%		46%	44%		40%	37%	

Source: UBS-S estimates

Valuation. Despite our 17-22% 2026-28E earnings hikes, they remain below the Wind consensus estimates. We maintain our Neutral rating. We raise our DCF-based price target from Rmb109.50 to Rmb187, with WACC unchanged at 9.8%, as we raise our medium-term growth assumption from 15% to 19.6%. Our new price target implies 64x 2027E PE, with a 2027-29E EPS CAGR of 33% (from 44x 2027E PE/a 2027-29E EPS CAGR of 31%). The implied PEG increases from 1.4x to 1.9x, close to the average of MLCC peers.

Sinocera: Slightly lift ASP assumptions on growing high-end ceramic powder sales volume

Sinocera plans to put new MLCC ceramic powder capacity of 2,000t into operation this year, mainly for automotive and AI servers downstream. As AI servers and other high-end areas require ceramic powder with smaller particle sizes and better consistency, we expect Sinocera's high-end ceramic powder sales volume to rise, driving up the ASP of its electronic materials segment 1%/6%/11% in 2026/2027/2028. As such, we lift our 2026/2027/2028 net profit estimates 1%/4%/7%.

Figure 10: Sinocera – revenue and earnings estimate revisions (Rmb m)

Rmb mn	2026E			2027E			2028E		
	New	Old	Chg	New	Old	Chg	New	Old	Chg
Revenue	5,371	5,363	0%	6,318	6,263	1%	7,247	7,130	2%
Electronic materials	848	840	1%	1,009	954	6%	1,201	1,084	11%
Catalyst materials	1,192	1,192	-	1,371	1,371	-	1,508	1,508	-
Biomedical materials	1,097	1,097	-	1,300	1,300	-	1,455	1,455	-
Battery materials	619	619	-	743	743	-	892	892	-
Fine ceramic materials	500	500	-	750	750	-	1,013	1,013	-
Others	1,114	1,114	-	1,145	1,145	-	1,177	1,177	-
Gross profit	2,027	2,019	0%	2,500	2,446	2%	2,914	2,797	4%
Electronic materials	298	290	3%	384	329	17%	491	374	31%
Catalyst materials	491	491	-	565	565	-	622	622	-
Biomedical materials	562	562	-	684	684	-	766	766	-
Battery materials	168	168	-	201	201	-	242	242	-
Fine ceramic materials	160	160	-	308	308	-	426	426	-
Others	348	348	0%	358	358	0%	368	368	-
Operational assumption									
MLCC powder sales volume -t	8,540	8,540	-	9,821	9,821	-	11,295	11,295	-
ASP of Electronic ceramics - Rmb/t	71,097	70,393	1%	74,652	70,393	6%	78,384	70,393	11%
Catalyst material sales volume growth%	25%	25%	-	15%	15%	-	10%	10%	-
Net profit	740	734	1%	1,019	984	4%	1,222	1,147	7%

Source: UBS-S estimates

Valuation. We raise our DCF-based price target from Rmb49.50 to Rmb65, with unchanged WACC of 9.7%. Our new price target implies 64x/53x 2027E/2028E PE (from 51x/44x). In particular, we lift our medium-term growth assumption from 16.9% to 17.0%, mainly as investors seem to have a more bullish long-term outlook for commercial space and the MLCC industry.

Comparison with Wind consensus

For Three-Circle and Jiemei, our 2026-28 net profit estimates are slightly above consensus. For Sinocera, our 2026 earnings estimates are slightly lower than consensus, while our 2027-28 earnings estimates are slightly higher. For Boqian, our 2026-28 earnings estimates are below consensus, and we maintain our Neutral rating.

Figure 11: UBS-S vs. consensus estimates

Rmb mn	UBSS rating	UBS-S estimates			Wind Consensus			UBS-S vs. Consensus %		
		2026E	2027E	2028E	2026E	2027E	2028E	2026E	2027E	2028E
Three Circle	Buy	3,745	5,171	6,669	3,557	4,497	5,591	5%	15%	19%
Sinocera	Buy	740	1,019	1,222	818	1,012	1,211	-10%	1%	1%
Jiemei	Buy	435	619	802	410	555	682	6%	12%	18%
Boqian	Neutral	524	767	1,076	582	922	1,374	-10%	-17%	-22%

Source: Wind, UBS-S estimates. Note: We excluded a group of outlier values for Jiemei's consensus earnings estimates.

MLCC value chain peers have re-rated significantly

On a 2027E PE basis, their valuations have risen to 59x now from 28x in Feb 2026, with a PEG gain from 1.4x to 2.4x. We attribute that mainly to structural support from AI server-driven MLCC demand, as well as stronger expectations for MLCC value chain price hikes in H226.

Figure 12: Comps for MLCC value chain names

28-May-26	Share price Local ccy	Mkt cap Rmb\$bn	2026E	PE (x) 2027E	2028E	2026E	P/BV (x) 2027E	2028E	2026E	ROE (%) 2027E	2028E	EPS CAGR 26-28E	PEG 2026
MLCC - China mainland													
Chaozhou Three-Circle*	132.1	253.2	68x	49x	38x	10.3x	8.8x	7.5x	16%	19%	21%	33%	2.02
Fenghua	48.6	56.3	92x	75x	63x	4.4x	4.3x	4.1x	5%	6%	7%	21%	4.36
Avg.			80x	62x	50x	7.3x	6.5x	5.8x	10%	13%	14%	27%	3.19
MLCC protection film													
EM Technology*	54.4	55.0	71x	45x	35x	8.6x	7.8x	7.0x	13%	18%	21%	42%	1.68
Jiemei*	69.8	30.1	69x	49x	38x	8.8x	7.8x	6.8x	13%	17%	19%	36%	1.93
SDK	80.7	36.6	156x	79x	54x	14.1x	11.5x	9.1x	9%	15%	18%	70%	2.24
Avg.			99x	58x	42x	10.5x	9.0x	7.6x	12%	17%	20%	49%	1.95
MLCC powders													
Sinocera*	53.0	52.8	71x	52x	43x	6.8x	6.1x	5.5x	10%	12%	13%	29%	2.50
Jiangsu Boqian*	182.5	47.7	91x	62x	44x	22.9x	18.2x	14.2x	28%	33%	36%	43%	2.10
Avg.			81x	57x	44x	14.9x	12.2x	9.8x	19%	23%	25%	36%	2.30
MLCC value chain average			88x	59x	45x	10.8x	9.2x	7.7x	13%	17%	19%	39%	2.40

Source: Wind, *UBS-S estimates. Note: Share prices as of 28 May.

UBS Research THESIS MAP a guide to our thinking and what's where in this report**PIVOTAL QUESTIONS****Q: Can Three-Circle double MLCC revenue in 2025-28 by growing market share?**

Yes. Leading domestic producer Three-Circle controlled a global share of only 3% in 2025. In upcoming years, we anticipate it to gain share in China, driven by improving product competitiveness, lower costs and downstream concerns about supply chain security. We expect Three-Circle's home appliance/industrial market shares to rise from 30%/16% in 2025 to 50%/30% in 2027/2028, and we think its consumer electronics and automotive MLCC revenue could grow.

"China MLCC Sector: APAC Focus: Passive components with largest localisation upside; Chinese makers set to thrive" 7/31/2025

Q: Can AI server demand help underpin continued strength in MLCC fundamentals in 2026?

Yes. Capacity utilisation remains above 90% for top Japanese and Korean MLCC producers and 80-90% for Chinese makers. Dealer checks indicate MLCC inventory remains low. We think MLCC demand could be driven by AI servers and restocking demand in 2026.

"China MLCC Sector: Distributor says 2026 may be a good year; we lift our PTs but downgrade Boqian to Neutral" 2/4/2026

UBSVIEW

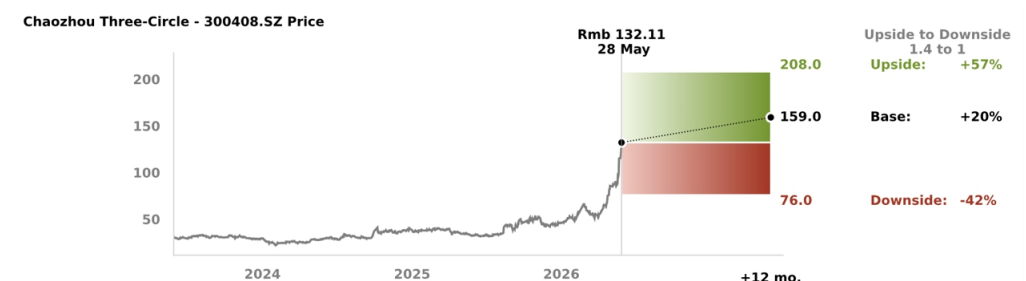
We lift our price target from Rmb108 to Rmb159 and maintain our Buy rating. We expect Three-Circle's MLCC global market share to expand from 3% to 8% in 2025-28 and its SOFC revenue to maintain a 100%+ CAGR in 2026-27. We expect its net profit to have a 28% CAGR in 2027-29, driven by increased shipments of higher-end products.

EVIDENCE

As per UBS Evidence Lab's Electronics Distributor Inventory Monitor ([> Access Dataset](#)), inventory of MLCC distributors as of 9 May 2026 decreased 1% from 11 April 2026, although inventory value climbed 2% over the same period. In Q126, the results of globally leading MLCC producers Murata and SEMCO both beat UBS estimates, while Yageo also delivered fast revenue growth.

WHAT'S PRICED IN?

We do not think the company's long-term market share upside potential is fully priced in. The stock is trading at 49x 2027E PE, slightly below the value chain peer average (59x). We expect a 2026-28E EPS CAGR of 33%, slightly below the 39% industrial average. However, given the large MLCC market size and relatively low shares of domestic makers, we expect Three-Circle's 2027-29E EPS CAGR at 28%, and we think MLCC makers have greater growth visibility than upstream materials companies.

UPSIDE/DOWNSIDE SPECTRUM

Value drivers (2027E)	MLCC revenue growth	PKG revenue growth	SOFC revenue growth	GPM
Rmb208 upside	45%	25%	150%	45.0%
Rmb159 base	37%	15%	120%	44.2%
Rmb76 downside	30%	8%	70%	43.2%

Source: UBS-S estimates

COMPANY DESCRIPTION

Chaozhou Three-Circle Group is a leading domestic company in electronic ceramic products. Its key products include fibre ceramic ferrules and sleeves, ceramic substrates and matrix, multi-layer ceramic capacitors (MLCCs), ceramic PKG and ceramic appearance components.

UBS Research THESIS MAP a guide to our thinking and what's where in this report**PIVOTAL QUESTIONS****Q: Can the MLCC sector's revenue and GPM stabilise and improve in 2026?**

Yes. As per UBS Evidence Lab's Electronics Distributor Inventory Monitor, inventory of MLCC distributors as of 9 May 2026 decreased 1% from 11 April 2026, although inventory value climbed 2% over the same period. Our dealer checks point to robust demand from AI servers downstream and continued growth of automotive-related MLCC demand. We expect recovering industry fundamentals and Sinocera's capacity launch to fuel a 10-20% sales volume rise for its MLCC powders in 2026-27E.

"China Chemical New Materials: Seeking subsectors with potential improvement in S/D balance under better market liquidity" 12/19/2024

UBSVIEW

We expect Sinocera to post a net profit CAGR of 20% in 2027-29. First, we forecast a continued moderate recovery in MLCC downstream demand, and its newly built capacities could meet increased demand downstream in automotive and AI. Second, we expect a 100% YoY rise in its satellite ceramic packaging materials revenue and sustained share gains for its catalytic materials segment. We maintain our Buy rating.

EVIDENCE

The company plans to launch its newly built 2ktpa MLCC powder capacity in 2026, mainly for automotive and AI servers downstream. High-end downstream areas such as AI servers require ceramic powders with smaller particle sizes and better uniformity, and rare earths may be added to powder formulations. In 2025, subsidiary Ceratron realised tens of millions of RMB in revenue from satellite packaging ceramic materials.

WHAT'S PRICED IN?

Sinocera is trading at ~60x 12-month-forward PE, close to its historical average but well below the peak in 2021 (80x). We expect its 2027 ROE to recover to 12.5% (14.8% in 2021), while its PE and P/BV valuations are well below those in 2021.

UPSIDE/DOWNSIDE SPECTRUM**Value drivers (2027E)**

	Electronic material sales volume growth	Catalytic material sales volume growth	Electronic material ASP growth	Fine ceramic material revenue growth
Rmb78 upside	20%	25%	10%	70%
Rmb 65 base	14%	15%	5%	50%
Rmb35 downside	10%	10%	0%	30%

Source: UBS-S estimates

COMPANY DESCRIPTION

Shandong Sinocera is focused on production, research and distribution of ceramic materials. Its major products include barium titanate (BaTiO₃) powder for multi-layer ceramic capacitors (MLCCs), zirconium powder for dental implants, honeycomb ceramics and ceramic ink.

UBS Research THESIS MAP a guide to our thinking and what's where in this report**PIVOTAL QUESTIONS****Q: Can localisation and higher ASPs drive 30%+ net profit growth for MLCC materials in 2026-28?**

Yes. We are upbeat on the localisation potential of release film and estimate its current global market sizes at more than Rmb10bn, with Jiemei taking only a 3% share. We estimate release film/electrode slurry content values at around 16%/13% of 1005-1608 MLCC (400 layers) manufacturing costs, up from 14%/12% for 2012 MLCCs.

"APAC Focus: Passive components with largest localisation upside; Chinese makers set to thrive"
7/31/2025

Q: Can MLCC release film turn from a net loss to net profit of over Rmb300m over 2025-28?

Yes. We expect release film revenue to grow from Rmb260m to Rmb1.5bn over 2025-28, implying a three-year CAGR of 70%+, driven by an improved industry cycle, full integration of upstream raw materials and downstream channels, and market share gains by local MLCC manufacturers. In addition, we expect release film GPM to expand from 9% in 2024 to 30%+ in 2027, supported by higher capacity utilisation and ASPs.

["Zhejiang Jiemei Electronic & Technology: Carrier tape remains resilient; release film poised for growth" 7/31/2025](#)

UBSVIEW

We are optimistic about the order ramp-up in Jiemei's release film business in 2027-29, as we estimate a 26% net profit CAGR over that period. We expect the electronic carrier tape business to generate net profit of Rmb300m in 2027 on price hikes and lower raw material (pulp) prices, while MLCC release film revenue delivers a 70%+ CAGR in 2025-28E. Over the longer term, Jiemei is leveraging composite copper foil technology to develop carrier copper foil and advancing the planned acquisition of AFiSy to enter high-end semi manufacturing, potentially driving valuation upside. We raise our 2026-28E earnings 8-13% and maintain our Buy rating.

EVIDENCE

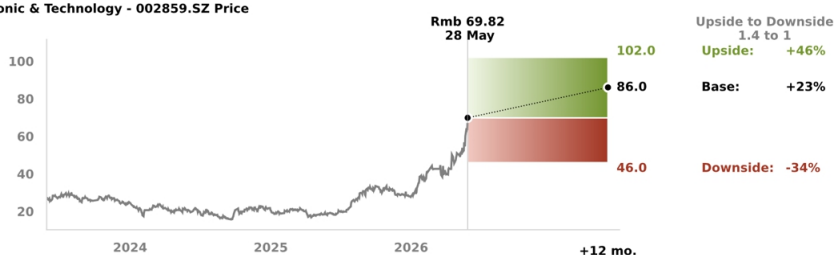
Jiemei's MLCC release film has achieved bulk supply to manufacturers in mainland China/Taiwan and entered small-batch trials for Japanese/Korean companies. With more than 20 years' experience in electronic packaging materials, Jiemei has secured a place in the supply chains of electronics leaders, such as SEMCO, Panasonic and Murata. Its paper carrier tape has more than a 50% global market share in revenue terms. ROE averaged around 20% in 2013-18.

WHAT'S PRICED IN?

Jiemei is trading at 49x 2027E PE, below the average of companies in the MLCC industry chain (59x). However, its 2026-28E EPS CAGR of 36% is close to the peer average of 39%. We expect the MLCC release film and composite copper/aluminum foil businesses to support Jiemei's long-term growth, with strong synergy in electronic packaging. Thus, we see more upside potential in its valuation.

UPSIDE/DOWNSIDE SPECTRUM

Zhejiang Jiemei Electronic & Technology - 002859.SZ Price

**Value drivers (2027E)**

	Film revenue (Rmb m)	Film GPM	Film ASP (Rmb/sqm)	Paper carrier tape GPM
Rmb102 upside	1,500	41%	1.7	47%
Rmb86 base	1,175	38%	1.6	44%
Rmb46 downside	800	35%	1.4	40%

Source: UBS-S estimates

COMPANY DESCRIPTION

Jiemei Electronic Technology is a leading domestic manufacturer of electronic carrier tape and MLCC release film. The company's major products include paper carrier tape, plastic carrier tape, electronic packaging tape, IC-trays and BOPET/PP film. The company's share in the paper carrier tape market exceeded 50%, at end-2024. It serves as a strategic partner for major domestic and overseas electronic component leaders such as SEMCO, Murata, Fenghua Advanced Technology and Panasonic.

UBS Research THESIS MAP a guide to our thinking and what's where in this report**PIVOTAL QUESTIONS****Q: Can China's MLCC material producers gain market share on localisation/higher ASPs?**

Yes. We estimate the global market size of MLCC electrode powder at Rmb10bn, with Boqian taking only an 8% share. We estimate release film/electrode slurry content values of about 16%/13% of 1005-1608 MLCCs' (400 layers) manufacturing costs, up from 14%/12% of 2012 MLCCs'.

"APAC Focus: Passive components with largest localisation upside; Chinese makers set to thrive"
7/31/2025

Q: Can nickel powder and solar copper powder drive a 40%+ NP CAGR for Boqian in 2026-28?

Yes. We forecast continued premiumisation in the nickel powder segment (70% revenue contribution in 2025) to drive segment GPM from 38% to 47% in 2025-28, mainly driven by growth in AI-related nickel powder demand. We expect copper powder sales to increase to over 3,000t in 2029, driven by solar slurry demand.

"Jiangsu Boqian New Materials: Nanopowder leader with expanding applications; initiate with a Buy rating" 7/31/2025

UBSVIEW

We forecast a 33% NP CAGR for Boqian in 2027-29, mainly driven by: 1) rising high-end nickel powder sales based on SEMCO's growing AI-related nickel powder demand; 2) higher penetration for China's MLCC producers; and 3) stronger copper powder demand as the solar industry seeks to replace silver with copper. Although we expect MLCC nickel powder sales to grow rapidly and the product mix to continue improving in 2026-28, we believe market expectations fully reflect growth in nickel powder/copper powder and the impact of rising nickel/copper prices. Therefore, our earnings forecast is below Wind consensus, and we maintain our Neutral rating.

EVIDENCE

Boqian is a leader in small-particle PVD-based nickel powders and has had a stable business relationship with SEMCO for more than 10 years. Boqian's customers, including Longi and Changzhou Fusion, are increasing investments in techniques to replace silver with copper in the solar industry. Copper powder that qualifies for solar applications is mainly produced by foreign companies, with the PVD method offering resistance to oxidisation.

WHAT'S PRICED IN?

Boqian is trading at 62x 2027E PE vs. a 33% EPS CAGR in 2027E-29E, implying 1.9x 2027E PEG, and its PE valuation multiple is close to the peer average. We think its valuation is fair.

UPSIDE/DOWNSIDE SPECTRUM**Value drivers (2027E)**

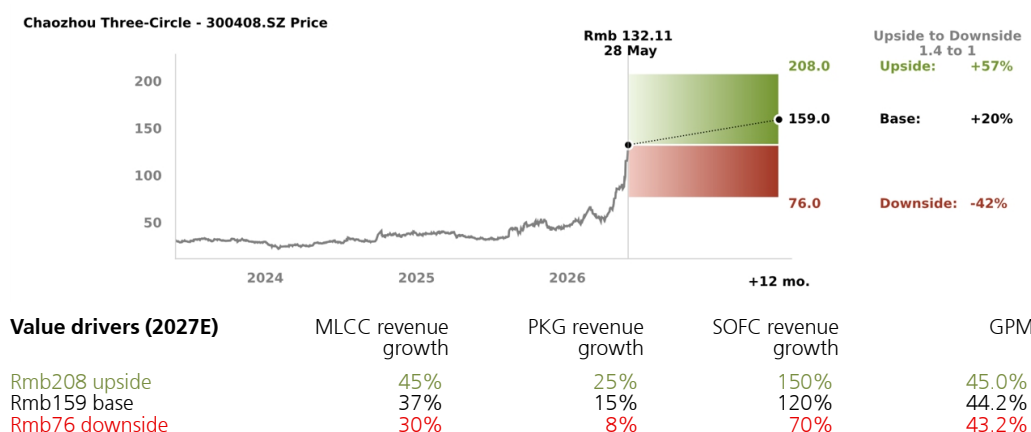
	High-end nickel powder revenue growth (Rmb m)	Nickel powder ASP (Rmb/kg)	Solar copper powder sales volume (tonnes)	Alloy powder sales volume (tonnes)
Rmb243 upside	450	750	1,200	100
Rmb187 base	325	698	910	79
Rmb96 downside	250	650	600	50

Source: UBS-S estimates

COMPANY DESCRIPTION

Jiangsu Boqian New Materials is a leading global producer of nanometre metal powder materials. Backed by its PVD technology, the company has expanded its product portfolio from nanometre nickel powder to solar copper powder and alloy powder used in inductors.

UPSIDE/DOWNSIDE SPECTRUM



Source: UBS-S estimates

Risk to the current share price is skewed to the upside (1.4:1)

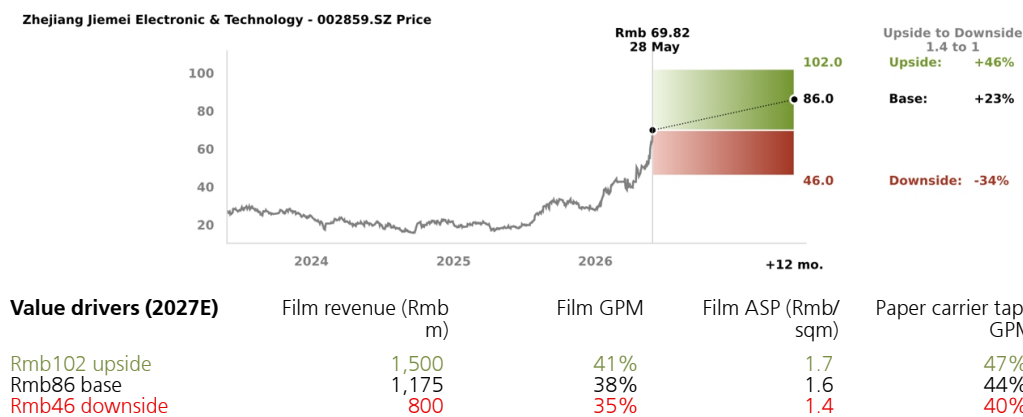
UPSIDE (Rmb208): We assume a recovery in MLCC industry fundamentals and Three-Circle's market share gains outpace our base-case expectations. Under this scenario we expect the company's MLCC revenue to more than double in 2026-28, while its relevant market share globally is likely to rise from 4% to 10%. We project 150% YoY SOFC revenue growth in 2027, also above our base-case expectation. Our upside valuation is Rmb208/share, implying 75x 2027E PE.

BASE (Rmb159): We expect a mild recovery in MLCC industry fundamentals and expansion in Three-Circle's home appliance, industrial control and consumer electronics market shares. We expect the company's MLCC revenue to double in 2026-28, while its relevant market share globally is likely to rise from 4% to 8%. We expect its SOFC revenue to increase 120% YoY in 2027, driven by downstream AI server demand growth. Our price target of Rmb159/share is based on 59x 2027E PE.

DOWNSIDE (Rmb76): We assume any recovery in MLCC industry fundamentals turns out to be weaker than our base-case expectation. We project an uptick in the company's MLCC market share globally from 4% to 6% in 2026-28, hindered by soft fundamentals in consumer electronics. We expect its SOFC revenue growth to be slower than order growth, with revenue up only 70% YoY in 2027. Our downside valuation is Rmb76/share, implying 42x 2027E PE.

UPSIDE/DOWNSIDE SPECTRUM

Jiemei is trading at
Rmb69.82 as of 28 May.



Source: UBS-S estimates

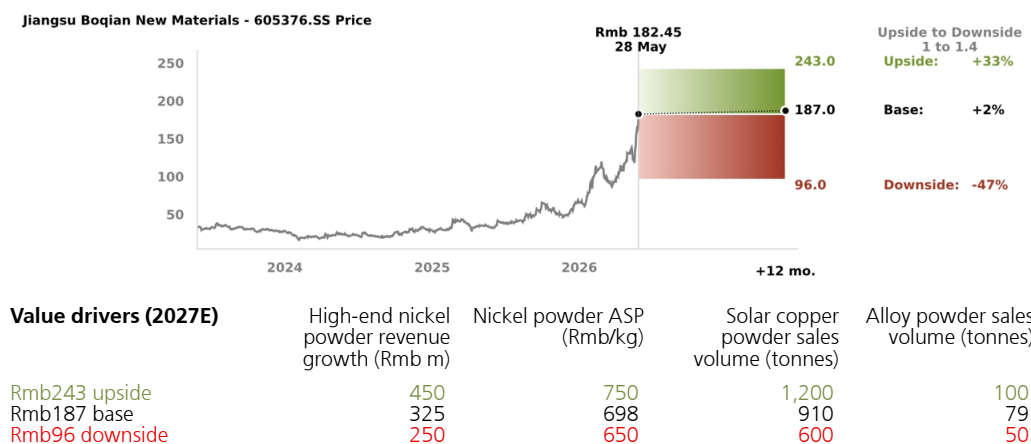
Risk to Jiemei's current stock price is skewed to the upside (1.4:1)

UPSIDE (Rmb102): Our upside scenario assumes Jiemei's release film ramps up faster than we expected, while rapid order growth from SEMCO drives segment revenue to Rmb1.5bn in 2027, with rising capacity utilisation and a higher ASP of Rmb1.7/sqm. Meanwhile, we assume pulp prices fall faster than we estimated, lifting its paper carrier tape GPM to 47%. Our upside valuation is Rmb102/share, implying 65x 2027E PE.

BASE (Rmb86): In our base case, we expect order growth from SEMCO and mainland Chinese MLCC makers to boost film segment revenue to Rmb1.18bn in 2027, implying a 70%+ CAGR in 2025-28, with increasing capacity utilisation and a higher ASP of Rmb1.6/sqm. Meanwhile, we expect lower hardwood and softwood pulp prices to help lift its paper carrier tape GPM to 44%. Our price target of Rmb86/share is based on DCF methodology, implying 60x 2027E PE.

DOWNSIDE (Rmb46): Our downside scenario assumes Jiemei's release film capacity ramps up slower than we expected and its segment revenue is Rmb800m in 2027. Its film ASP rises to Rmb1.4/sqm on recovering capacity utilisation. Meanwhile, we expect its paper carrier tape GPM to hold at 40%, as pulp prices could be largely stable. Our downside valuation is Rmb46/share, implying 40x 2027E PE.

UPSIDE/DOWNSIDE SPECTRUM



Boqian is trading at Rmb182.45 (as of 28 May).

Source: UBS-S estimates

Risk to Boqian's share price is skewed to the downside (1:1.4)

UPSIDE (Rmb243): In our upside scenario, we assume Boqian supplies high-end nickel powder to Japanese companies and extends to AI-related applications, driving segment revenue to more than double to Rmb450m in 2027. With an improving product mix, nickel powder ASP would rise to Rmb750/kg in 2027. We assume a better-than-expected silver-free trend in the solar industry and inductor premiumisation to drive solar copper powder/alloy powder sales volume to 1,200/100 tonnes. Our upside valuation is Rmb243/share, implying 75x 2027E PE.

BASE (Rmb187): In our base case, we forecast Boqian's high-end nickel powder revenue to double to Rmb325m in 2027, driven by SEMCO's AI-related MLCC nickel powder demand growth. With an improving product mix, nickel powder ASP could rise to Rmb698/kg in 2027. The increasing penetration of silver-free solar slurry may drive solar copper powder sales to 910 tonnes. Inductor premiumisation may boost alloy powder sales to 79 tonnes. Our price target of Rmb 187/share is based on DCF methodology, implying 64x 2027E PE.

DOWNSIDE (Rmb96): In our downside scenario, we assume lower-than-expected high-end nickel powder revenue driven by SEMCO's AI-related nickel powder demand growth, which would be only Rmb250m in 2027. Nickel powder ASP would drop to Rmb650/kg in 2027 on higher volume growth in low-end nickel powder. Solar copper powder sales may reach 600 tonnes, assuming slower penetration growth of silver-free solar slurry. Alloy powder sales volume could be 50 tonnes as inductor premiumisation disappoints. Our downside valuation is Rmb96/share, implying 45x 2027E PE.

Valuation Method and Risk Statement

We believe the major risks for China's MLCC sector include: 1) earnings undershooting due to an industry inventory correction; 2) oversupply caused by capacity expansion and earnings contraction due to price competition; 3) the growth of emerging downstream applications may disappoint the market due to uncertainty; 4) Chinese companies' competitiveness relative to Japanese/Korean peers may be sensitive to FX; and 5) supply chain stability is likely to be disrupted by tariffs and geopolitics.

We derive our price targets for Jiemei, Boqian and Sinocera using DCF valuation. We derive our price target for Three-Circle based on PE valuation.

The main downside risks for Boqian include: 1) weaker-than-expected growth in high-end nickel powder orders from SEMCO; 2) intensifying competition due to technological breakthroughs of other domestic nickel powder manufacturers; 3) disappointing penetration of solar copper slurry; and 4) the alloy powder and silicon powder industries, among others, remain in early stages and face technical change risks. The Main upside risks include: 1) breaking into the nickel powder supply chain of Japanese companies; and 2) a better-than-expected rise in solar copper powder penetration.

The main downside risks for Three-Circle include: 1) a slower-than-expected recovery in home appliance/industrial MLCC demand; 2) lower-than-expected earnings from an industry inventory correction; 3) slower-than-expected penetration into high-end markets; and 4) uncertainty in the consumer electronics value chain resulting from geopolitical risks, such as tariffs.

The main downside risks for Jiemei include: 1) uncertainty in the downstream certification timeline of its release film, with any delay potentially leading to lower capacity utilisation; 2) volatility in the prices of raw materials, namely pulp and PET particles; 3) overcrowding in the domestic release film sector and oversupply potentially leading to a price war; and 4) supply chain stability potentially being disrupted by tariffs and geopolitics.

The main downside risks for Sinocera include: 1) proliferation of MLCC material technology; 2) failed marketing and promotion of Upcera's dental B2C business; 3) faster-than-expected replacement of diesel engines by clean energy vehicles following adoption of China VI emission standards leading to disappointing honeycomb ceramics sales volume; 4) intense competition sets off a price war among honeycomb ceramic producers after adoption of China VI emission standards; and 5) valuation disruptions brought about by acquisitions.

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12-Month Rating	Definition	Coverage ¹	IB Services ²
Buy	FSR is > 6% above the MRA.	54%	24%
Neutral	FSR is between -6% and 6% of the MRA.	40%	21%
Sell	FSR is > 6% below the MRA.	6%	21%

Source: UBS. Rating allocations are as of 31 March 2026.

1:Percentage of companies under coverage globally within the 12-month rating category.

2:Percentage of companies within the 12-month rating category for which investment banking (IB) services were provided within the past 12 months.

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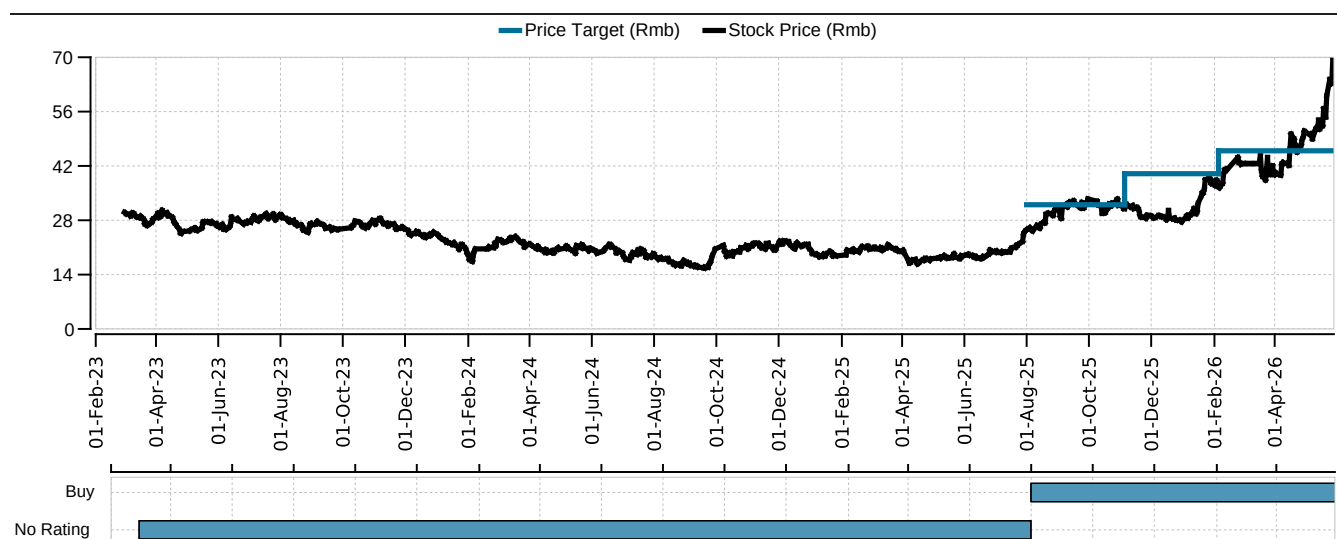
Company Disclosures

Company Name	Reuters	12-month rating	Price	Price date
Chaozhou Three-Circle	300408.SZ	Buy	Rmb128.78	29 May 2026
Jiangsu Boqian New Materials	605376.SS	Neutral	Rmb178.33	29 May 2026
Shandong Sinocera Functional Material	300285.SZ	Buy	Rmb50.78	29 May 2026
Zhejiang Jiemei Electronic & Technology	002859.SZ	Buy	Rmb69.20	29 May 2026

Source: UBS Global Research; LSEG Eikon. All prices as of local market close. Ratings in this table are the most current published ratings prior to this report. They may be more recent than the stock pricing date.

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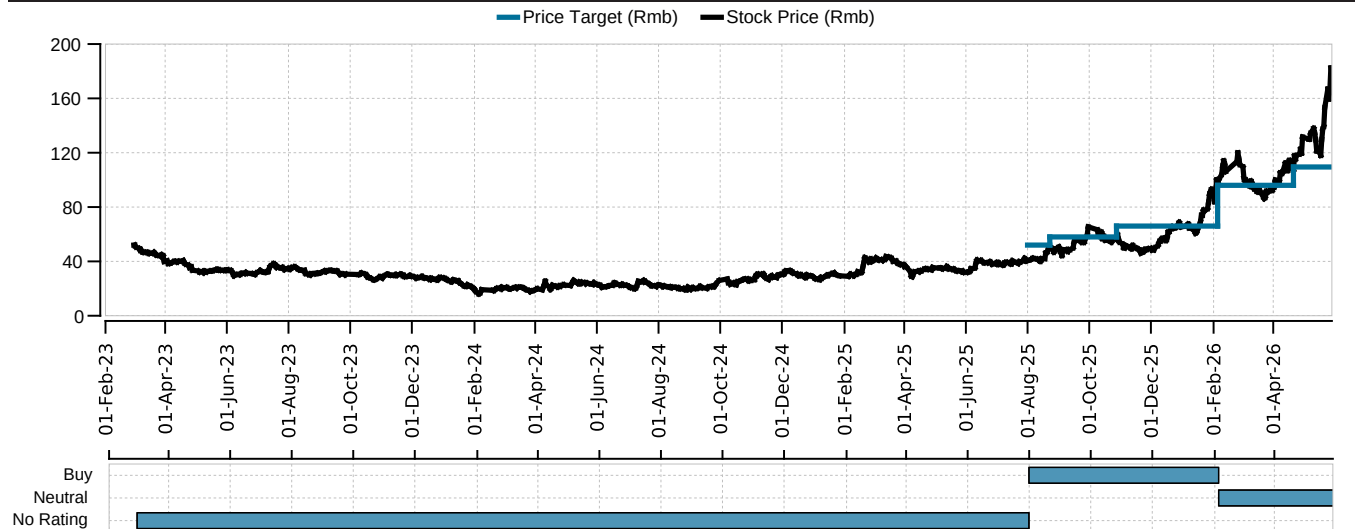
Zhejiang Jiemei Electronic & Technology (Rmb)



Date	Stock Price (Rmb)	Price Target (Rmb)	Rating
2023-02-28	30.04	-	No Rating
2025-07-31	25.30	32.00	Buy
2025-11-04	31.02	40.00	Buy
2026-02-04	37.89	45.90	Buy

Source: UBS Global Research; LSEG Eikon as of 29-May-2026. All prices as of local market close. Ratings as of date shown.

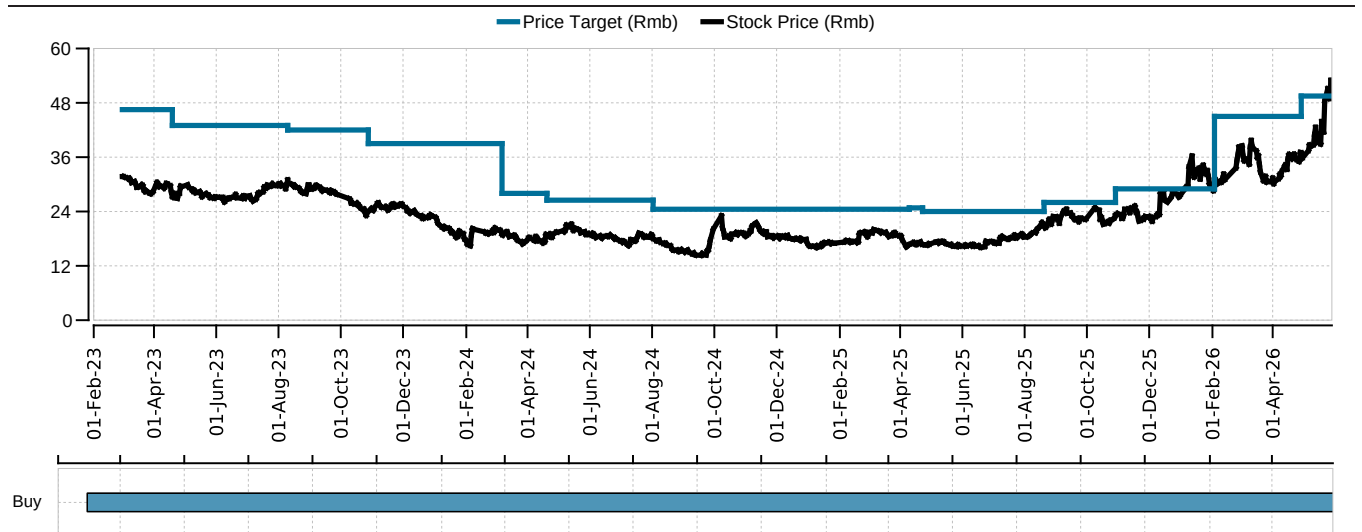
Jiangsu Boqian New Materials (Rmb)



Date	Stock Price (Rmb)	Price Target (Rmb)	Rating
2023-02-28	52.60	-	No Rating
2025-07-31	40.36	52.00	Buy
2025-08-22	50.55	58.00	Buy
2025-10-27	56.87	66.00	Buy
2026-02-04	100.10	96.00	Neutral
2026-04-20	108.05	109.50	Neutral

Source: UBS Global Research; LSEG Eikon as of 29-May-2026. All prices as of local market close. Ratings as of date shown.

Shandong Sinocera Functional Material (Rmb)

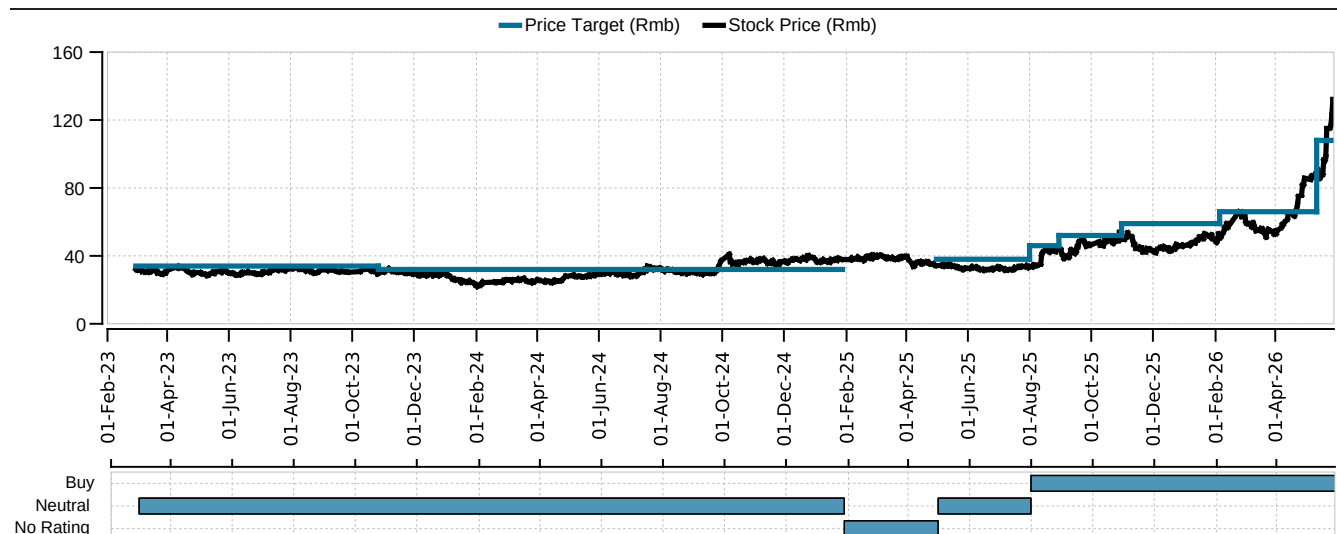


Date	Stock Price (Rmb)	Price Target (Rmb)	Rating
2023-02-28	30.66	46.50	Buy
2023-04-18	28.25	43.00	Buy
2023-08-09	29.87	42.00	Buy
2023-10-27	23.73	39.00	Buy
2024-03-06	19.57	28.00	Buy
2024-04-19	18.95	26.50	Buy
2024-08-01	18.73	24.50	Buy
2025-04-09	16.61	24.80	Buy
2025-04-22	16.80	24.00	Buy
2025-08-19	21.07	26.00	Buy

Date	Stock Price (Rmb)	Price Target (Rmb)	Rating
2025-10-28	22.61	29.00	Buy
2026-02-02	28.59	45.00	Buy
2026-04-28	37.05	49.50	Buy

Source: UBS Global Research; LSEG Eikon as of 29-May-2026. All prices as of local market close. Ratings as of date shown.

Chaozhou Three-Circle (Rmb)



Date	Stock Price (Rmb)	Price Target (Rmb)	Rating
2023-02-28	31.86	34.00	Neutral
2023-10-26	29.37	32.00	Neutral
2025-01-27	37.90	-	No Rating
2025-04-30	34.31	38.00	Neutral
2025-07-31	33.09	46.00	Buy
2025-08-29	44.22	52.00	Buy
2025-10-30	51.89	59.00	Buy
2026-02-04	53.00	66.00	Buy
2026-05-11	88.22	108.00	Buy

Source: UBS Global Research; LSEG Eikon as of 29-May-2026. All prices as of local market close. Ratings as of date shown.

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